NASDAQ: TMDX

TransMedics Group, Inc.

The Only Vertically Integrated Organ Transport Platform in the World

First Annual First-Year Stock Pitch Competition

University of Galway Finance Society & UGSMF

Team: Going Long
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RECOMMENDATION

BUY

~$126
Current Price

$4.3B
Market Cap

~14%
Upside to Target

Company Overview

What They Do

TransMedics make the **Organ Care System (OCS)** - a portable perfusion device that keeps donor organs warm and functioning outside the body, replicating near-physiologic conditions.

Traditional cold storage degrades organs over time. The OCS keeps them alive, improving transplant outcomes.

FDA approved for: Heart, Lung, and Liver

The Device (OCS)

Portable organ perfusion - warm, functioning organs in transit. Single-use consumables (which are patented) per procedure create recurring revenue.

The Network (NOP)

22 owned aircraft. Full end-to-end organ logistics across the US. No other company combines device and transport.

The Expansion

Italy NOP launch planned H1 2026 with Mercedes-Benz. Kidney OCS trials underway. International and new organ categories ahead.

Investment Thesis

BUY: The only vertically integrated organ transport platform globally, with a growing presence and multiple near-term catalysts.

01 Recurring Revenue

TransMedics own the OCS consoles and charges per-procedure consumables - predictable, high-margin cash flows that scale with case volume.

02 Profitable Since 2024

After years of R&D investment the company reached profitability. Operating leverage is now kicking in as consumable revenue grows faster than fixed costs.

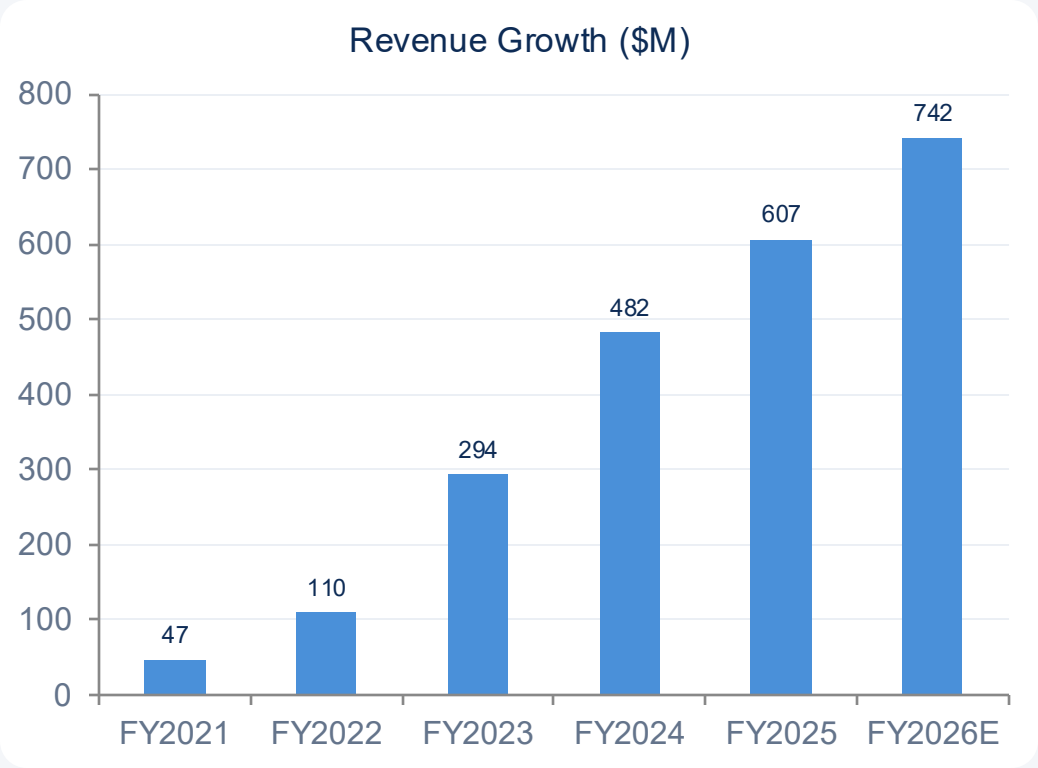
03 38% Case Growth

5,139 US OCS cases in FY2025 - up 38% year-on-year. Over 100,000 patients are on US transplant waiting lists. Penetration remains low.

04 Expansion Optionality

Kidney transplants are the largest category (~25,000 US/year). OCS kidney trials underway. Approval would be a material re-rating event.

Why Buy Now?



Near-Term Catalysts

H1 2026	Italy NOP launch - first international revenue stream, validating the logistics model outside the US.
2026	Kidney OCS trial data expected - approval would open ~25,000 US procedures per year.
Current	Stock is ~30% below 2024 highs, trading at a 12% discount to the analyst consensus target of $144.73.
Long-run	Management targeting 30% operating margins - significant earnings upside if achieved.

Risks and Mitigants

Risk	Mitigant
Capital-intensive logistics model (22 aircraft, high capex)	Aviation network is core to competitive and defensible advantage- no competitor can replicate this quickly. Unit economics improve with scale.
Reimbursement pressure and healthcare budget tightening	OCS improves outcomes and reduces costs from failed transplants. Clinical value justifies pricing.
US liver market showing early saturation signs (Q3 2025)	Kidney expansion and heart/lung growth provide multiple diversified volume drivers beyond liver.
High beta (2.02) - significant share price volatility	Long-term investors benefit from volatility and fundamentals support a multi-year holding period.

MedTech Sector Fit

Galway employs 20,000+ people in MedTech. TransMedics is exactly the kind of company this sector produces - regulated device, clinical outcomes, recurring revenue.

Class III Medical Device

OCS is a regulated FDA Class III device - the highest risk class, requiring the most rigorous clinical evidence. Same classification as pacemakers and implantable defibrillators.

Business Model = MedTech

Hardware placement followed by high-margin consumables - identical to Medtronic and Stryker. TransMedics earns per-procedure, giving it recurring, scalable revenue.

Category-Defining Innovation

Organ perfusion technology is at the early adoption stage globally. TransMedics is building the category from scratch, similar to early robotic surgery or transcatheter valves.

RECOMMENDATION

Going Long on TMDX

- Only integrated organ transport platform globally
- Profitable growth: 38% case volume growth in FY2025
- Multiple catalysts: kidney approval + Italy NOP in 2026
- Trading 12% below analyst consensus price target
- Long-run 30% operating margin potential

BUY

Rating

$144.73

Price Target

~14%

Upside

Team: Going Long | Luke Herrick & Conor Hannelly | University of Galway | February 2026